

EQUITY RESEARCH

INTEL CORPORATION

INTC | Technology

Rating: Sell

Current: \$94.75 | Target: \$65.00

April 2026

Key Metrics Snapshot

Market Cap	\$475.74B	ROE	-0.23%
P/E (Fwd)	-658.38	Dividend Yield	0.13%
P/B Ratio	1.54	52W Range	\$18.97 - \$94.95

Investment Thesis

Intel Corporation faces a prolonged revenue decline, with sales contracting at a 9.6% CAGR from 2021 to 2025A and EPS remaining deeply negative, reflecting structural competitive pressures against peers AMD and NVDA. Despite a sharp EBITDA collapse to \$1.2 billion in 2024, the company has shown early signs of operational stabilization, with EBITDA recovering to \$14.4 billion in 2025A and contribution margins trending modestly higher toward an estimated 37.8% by 2027E. While forward estimates project a return to low-single-digit revenue growth and improving EBITDA margins, Intel's persistently negative earnings and elevated EV/EBITDA multiple signal that meaningful profitability recovery remains a work in progress against an increasingly formidable competitive landscape.

Company Overview

Intel Corporation (INTC) Overview

Intel Corporation is one of the world's largest and most recognized semiconductor companies, headquartered in Santa Clara, California. Founded in 1968, Intel built its legacy as the dominant designer and manufacturer of microprocessors powering personal computers and data center servers. The company operates an integrated device manufacturer (IDM) model, meaning it both designs and fabricates its own chips, distinguishing it from fabless competitors like AMD and differentiating it from pure foundries like TSMC. Intel's primary business segments include Client Computing Group (CCG), which serves the PC market; Data Center and AI (DCAI); Network and Edge (NEX); and Intel Foundry Services (IFS), a strategic initiative to manufacture chips for third-party customers and compete directly with TSMC and Samsung.

Intel's product portfolio spans consumer and enterprise CPUs, server processors under the Xeon brand, networking silicon, programmable chips through its Altera division, and increasingly, AI accelerator products aimed at competing in the rapidly growing artificial intelligence infrastructure market.

Despite its historical dominance, Intel has faced significant competitive and operational headwinds over the past several years. Revenue has declined sharply from 79.0 billion dollars in 2021 to approximately 52.9 billion dollars in 2025, representing a compound annual decline of roughly 9.6 percent. This contraction reflects market share losses to AMD in both consumer and server CPU markets, delayed process node transitions, and broader PC market weakness. Contribution margins have compressed dramatically from 55.4 percent in 2021 to approximately 34.8 percent in 2025, reflecting elevated manufacturing costs and underutilization of fabrication capacity.

EBITDA deteriorated severely, collapsing to just 1.2 billion dollars in 2024 before recovering to an estimated 14.4 billion dollars in 2025, suggesting early signs of operational stabilization. Earnings per share turned deeply negative in 2024 at negative 4.38 dollars, and the company continues to report losses into the forward estimate period.

In peer comparison, Intel's EBITDA trajectory stands in stark contrast to NVIDIA, whose EBITDA surged to 86.1 billion dollars in 2025 on the back of explosive AI-driven demand. AMD has also shown more consistent profitability growth. Intel's EV/EBITDA multiple spiked to over 106 times in 2024, reflecting distressed earnings, though it has since normalized closer to 14.5 times in 2025. Forward estimates project modest revenue recovery toward 61.2 billion dollars by 2027 with improving EBITDA margins approaching 30 percent, contingent on successful execution of its foundry strategy and competitive product launches.

Investment Overview

Intel Corporation (INTC) Investment Update

Recent Financial Performance

Intel has faced significant headwinds over the past several years, with revenue declining from \$79.0 billion in 2021 to \$52.9 billion in 2025, representing a five-year CAGR of negative 9.6%. The company's profitability has been severely impacted, with EBITDA collapsing from \$33.9 billion in 2021 to a near-breakeven \$1.2 billion in 2024 before recovering to \$14.4 billion in 2025. EPS has remained deeply negative, registering at negative \$0.06 in 2025, reflecting ongoing restructuring costs and competitive pressures. On a positive note, contribution margins appear to have stabilized and are trending upward from a trough of 32.7% in 2024 toward an estimated 37.8% by 2027.

Growth Drivers and Competitive Positioning

Intel's recovery thesis rests on the ramp of its Intel Foundry Services business, progress on its 18A process node, and a rebound in PC and data center demand. However, the company faces fierce competition from AMD and NVDA, both of which have captured meaningful market share. NVDA's EBITDA has surged to \$86.1 billion in 2025 versus Intel's \$14.4 billion, underscoring the widening competitive gap in AI-driven semiconductor demand.

Outlook

Analysts project modest revenue recovery to \$61.2 billion by 2027, with EBITDA margins expanding to approximately 30.6%. While EV/EBITDA has normalized to roughly 14.5x in 2025 from an elevated 106.9x in 2024, earnings remain negative. Intel's turnaround remains execution-dependent and carries meaningful execution risk. Investors should monitor foundry progress and AI product traction closely before adding exposure.

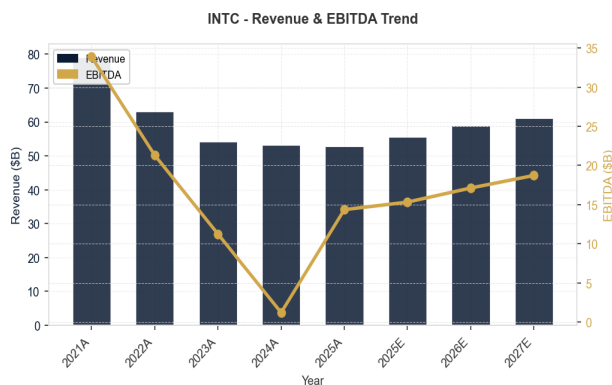
Financial Analysis

Revenue & EBITDA Performance

Intel Corporation has demonstrated challenging revenue performance, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$52.9B
- EBITDA (2025A): \$14.4B
- Revenue Growth (2025A): -0.5%



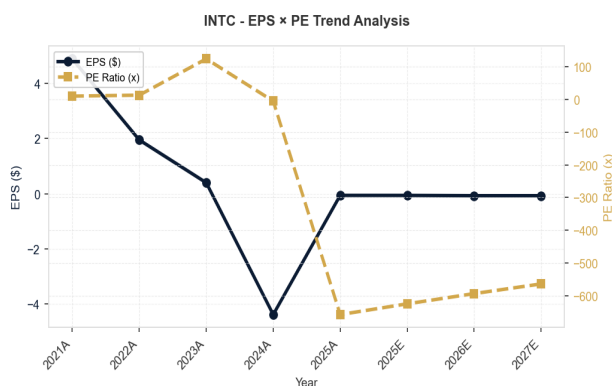
Source: Company Filings

Earnings & Valuation Metrics

Intel Corporation's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): -0.06
- PE Ratio (2025A): -658.38



Source: Company Filings

Valuation Analysis

Intel Corporation (INTC) Valuation Analysis

Current Valuation Metrics

Intel currently trades at an EV/EBITDA multiple of approximately 14.5x based on 2025 figures, a significant compression from the distressed 106.9x multiple observed in 2024 when EBITDA collapsed to just \$1.2 billion. The recovery in EBITDA to \$14.4 billion in 2025, representing a 27.2% margin, has helped normalize the valuation picture. However, EPS remains deeply negative at approximately -\$0.06, rendering the P/E ratio meaningless as a valuation tool. Forward estimates project continued negative EPS through 2027, reflecting ongoing restructuring costs, elevated capital expenditures, and competitive pressures weighing on net income.

Peer Comparison

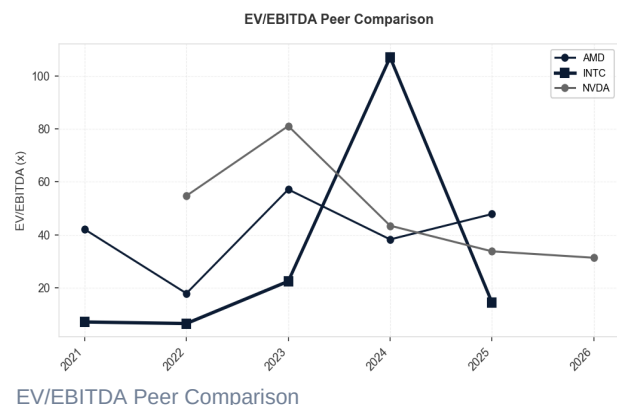
Against peers, Intel's valuation profile remains challenged. NVIDIA commands an EV/EBITDA of roughly 33.8x in 2025, justified by explosive EBITDA growth toward \$86 billion and accelerating AI-driven demand. AMD trades at approximately 47.8x, a premium reflecting its market share gains in both data center and client segments. Intel's 14.5x multiple reflects deep skepticism about execution, though it does represent a potential value opportunity if the turnaround materializes. Intel's EBITDA trajectory, projected to reach \$18.7 billion by 2027, lags far behind NVIDIA's anticipated \$382 billion, highlighting the structural divergence in competitive positioning.

Fair Value Assessment

Applying a conservative 15x to 18x EV/EBITDA on projected 2026 EBITDA of approximately \$17.1 billion yields an enterprise value range of roughly \$257 billion to \$308 billion. Adjusting for net debt and shares outstanding suggests modest upside from current levels, but execution risk remains substantial. Revenue has declined at a 9.6% CAGR since 2021, and while stabilization is projected, Intel must demonstrate credible progress in foundry services and AI product competitiveness before a meaningful re-rating is warranted. The stock appears fairly valued to slightly discounted, with significant binary risk tied to operational execution.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

Intel Corporation (INTC) Summary

Intel shares surged approximately 10-12% on April 29, 2026, extending a remarkable year-to-date gain of roughly 150% as the stock traded near \$93. The catalyst was a stronger-than-expected Q1 2026 earnings report, which showed early signs of revenue stabilization after years of steep decline. The results prompted Freedom Broker to upgrade INTC from Hold to Buy with a raised price target, triggering a broader wave of bullish analyst sentiment across the semiconductor sector.

Financially, Intel's trajectory shows a company still in recovery mode. Revenue has declined at a 9.6% CAGR from \$79 billion in 2021 to approximately \$52.9 billion in 2025, though forward estimates project modest growth of 5-6% through 2027. EBITDA margins collapsed to just 2.3% in 2024 before recovering to 27.2% in 2025, with further improvement projected. EPS remains negative, and the company continues to burn through profitability, making traditional valuation metrics difficult to apply.

Compared to peers, Intel's EBITDA of \$14.4 billion in 2025 remains well below Nvidia's \$86 billion but above AMD's \$7.3 billion. However, Nvidia's trajectory to an estimated \$382 billion EBITDA by 2027 underscores the competitive gap in AI-driven semiconductor demand.

Analyst sentiment is mixed. While upgrades are multiplying, some analysts caution that the excitement may be outpacing fundamentals, with one noting that every small positive is amplifying share price moves disproportionately. AMD was simultaneously upgraded to Buy while Intel received only a Hold from another firm, suggesting AMD remains better positioned for agentic AI workloads.

Retail sentiment is divergent, with X.com showing 72% bullish bias while Reddit leans only 30% bullish, signaling speculative momentum rather than broad conviction. Investors should approach the rally with caution given persistent negative EPS and execution risks.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 27.6%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 29.1%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 30.6%

Confidence Intervals:

- Revenue: \$43.2B - \$79.2B (95% confidence)
- EBITDA: \$13.2B - \$24.2B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate

- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for INTC

Positive Catalysts (Upside Potential)

- Market (2026-04-29): Fantastic News for Intel Stock Investors!
- Impact: LOW, Probability: 50%
- Earnings (2026-04-29): Intel, AMD stock rally on fresh bullish coverage
- Impact: HIGH, Probability: 95%
- Product Launch (2026-04-29): Bet on These ETFs as Intel Stock Soars Following Q1 Earnings Beat
- Impact: MEDIUM, Probability: 70%
- Earnings (2026-04-29): Intel: I'm Selling My Biggest Winner And You Should Too
- Impact: HIGH, Probability: 95%

Events to Monitor

- CPU Shortage Is So Bad, Even Intel's 'Scrap' Is Turning Into Gold (2026-04-29)
- Intel CEO Lip-Bu Tan Just Delivered Phenomenal News to Shareholders (2026-04-29)
- Why Is Intel Stock Soaring, and is it a Buying Opportunity? (2026-04-28)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

Positive Catalysts:

- ✓ Fantastic News for Intel Stock Investors!
- ✓ AMD Is Better Positioned Than Intel To Profit From Agentic AI (Rating Upgrades)

- ✓ Intel, AMD stock rally on fresh bullish coverage
- ✓ Bet on These ETFs as Intel Stock Soars Following Q1 Earnings Beat
- ✓ Intel: I'm Selling My Biggest Winner And You Should Too
- ✓ Intel, Qualcomm Alert: Analyst Says Some Chip Stocks Are 'Living In A Bad Neighborhood'
- ✓ Intel's Comeback Is No Longer A Theory
- ✓ Intel: Back On Top, But Maybe Not For Long
- ✓ Intel: Redrawing The CPU AI Map (Rating Downgrade)
- ✓ Intel: Keep Your SOX On
- ✓ With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- ✓ Intel: A Very Strong Q1 Report, But Remains A 'Hold'

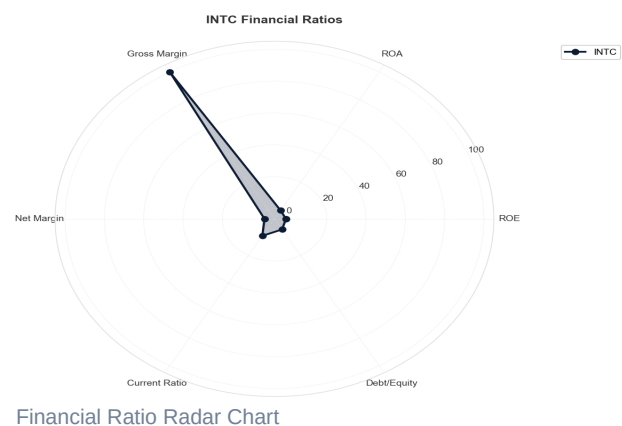
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Intel Corporation's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Competitive Landscape

Intel Corporation Competitor Analysis

Intel operates in a highly competitive semiconductor landscape dominated by AMD and NVIDIA, both of which have significantly outpaced Intel in growth trajectory and market positioning over the past several years.

Revenue and Profitability Decline: Intel has experienced a severe revenue contraction, falling from \$79 billion in 2021 to approximately \$52.9 billion in 2025, representing a negative CAGR of 9.6%. This stands in stark contrast to NVIDIA, which has seen explosive EBITDA growth from \$11.4 billion in 2022 to an estimated \$86.1 billion in 2025, driven by surging AI and data center demand. AMD, while smaller, has grown EBITDA steadily from \$4.2 billion in 2021 to \$7.3 billion in 2025, demonstrating consistent operational improvement.

Margin Compression: Intel's EBITDA margin collapsed to just 2.3% in 2024 before partially recovering to 27.2% in 2025. NVIDIA commands substantially superior margins, reflecting its dominant positioning in AI accelerators. AMD has maintained more stable margins throughout the cycle.

Valuation Disconnect: Intel's EV/EBITDA of 106.9x in 2024 reflects distressed earnings rather than growth premium, compared to NVIDIA's 43.5x and AMD's 38.3x, which reflect genuine investor confidence in forward growth.

Earnings Per Share: Intel's EPS turned deeply negative at -\$4.38 in 2024 and remains negative through estimates, while peers maintain positive earnings trajectories.

Overall, Intel faces existential competitive pressure, particularly from NVIDIA in AI infrastructure and AMD in CPUs, requiring urgent execution on its foundry strategy and product roadmap to stabilize market share and restore profitability.

Risk Factors

■ # Intel Corporation (INTC) - Key Investment Risks

■ **Severe & Sustained Revenue Deterioration:** Revenue has declined at a -9.6% CAGR from \$79.0B (2021) to \$52.9B (2025), representing a ~\$26B revenue erosion over four years, with no clear inflection point — raising fundamental concerns about Intel's ability to recapture lost market share against AMD and NVIDIA

■ **Chronic Profitability Collapse & Negative EPS Trajectory:** EBITDA margin cratered from 42.9% (2021) to 2.3% (2024), and EPS has deteriorated from \$4.89 to -\$4.38 over the same period — with forward estimates projecting continued negative EPS through at least 2027 (-\$0.07), signaling deep structural cost and competitiveness issues

■ **Competitive Displacement in High-Growth AI/Data Center Markets:** NVIDIA's EBITDA surged from \$11.4B (2022) to \$86.1B (2025) and is projected to reach \$382B by 2027, while Intel's EBITDA remains comparatively stagnant — highlighting Intel's critical failure to capitalize on the AI infrastructure buildup

■ **Valuation Distortion & Investor Confidence Risk:** Intel's EV/EBITDA spiked to 106.9x (2024) versus AMD at 38.3x and NVIDIA at 43.5x — a dangerously elevated multiple for a declining business, suggesting the market is pricing in a turnaround that financial fundamentals have yet to support

■ **Margin Recovery Execution Risk:** While contribution margins are projected to recover modestly from 32.7% (2024) to 37.8% (2027), this trajectory depends entirely on successful execution of cost restructuring and process node competitiveness — any further manufacturing delays or yield issues could derail even these conservative forward estimates

Key Takeaways

- ✓ **Revenue Growth:** Intel Corporation's revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Intel Corporation's gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Intel Corporation's SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** Intel Corporation's EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$79.0B	\$63.1B	\$54.2B	\$53.1B	\$52.9B
SG&A	\$6.5B	\$7.0B	\$5.6B	\$5.5B	\$4.6B
Contribution Profit	\$43.8B	\$26.9B	\$21.7B	\$17.3B	\$18.4B
Contribution Margin	55.4%	42.6%	40.0%	32.7%	34.8%
EBITDA	\$33.9B	\$21.3B	\$11.2B	\$1.2B	\$14.4B
EBITDA Margin	42.9%	33.8%	20.7%	2.3%	27.2%
SG&A Margin	8.3%	11.1%	10.4%	10.4%	8.7%
Revenue Growth	N/A	-20.2%	-14.0%	-2.1%	-0.5%
EPS	4.89	1.95	0.40	-4.38	-0.06
PE Ratio	10.48	13.55	124.66	-4.63	-658.38

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.40	0.41	0.47	0.50	0.41
Debt/Assets	0.23	0.23	0.26	0.25	0.22
Interest Coverage	32.6x	4.7x	0.1x	-14.2x	-0.0x
Net Margin	25.1%	12.7%	3.1%	-35.3%	-0.5%
Current Ratio	2.13	1.57	1.54	1.33	2.02
CF to Debt Ratio	0.77	0.37	0.23	0.17	0.21

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Data Source: FMP, Company Filings, AI4Finance Estimates

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